

Regional Studies

ISSN: 0034-3404 (Print) 1360-0591 (Online) Journal homepage: www.tandfonline.com/journals/cres20

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To cite this article: Santiago Lago-Peñas, Ignacio Lago & Jorge Martínez-Vázquez (2025) Decentralisation and the governance of extreme events, Regional Studies, 59:1, 2438328, DOI: 10.1080/00343404.2024.2438328

To link to this article: https://doi.org/10.1080/00343404.2024.2438328

Published online: 13 Jan 2025.

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REGIONAL STUDIES
2025, VOL. 59, NO. 1, 2438328
https://doi.org/10.1080/00343404.2024.2438328

Routledge Taylor & Francis Group
RSA Regional Studies Association

EDITORIAL

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Decentralisation and the governance of extreme events

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ABSTRACT

Institutions are crafted to tackle the everyday hurdles that societies encounter. Yet, as extreme events – such as natural disasters, pandemics, severe economic downturns and terrorist attacks – become increasingly common, they put the resilience, efficiency and adaptability of our governance systems to the test. This article collection dives into how the decentralisation of power within states influences the impact, response and recovery from these dramatic events. By weaving together insights from economics, political science and geography, the contributors tackle two pivotal questions. Have extreme events prompted a reconfiguration of local and regional authorities, or reshaped the distribution of political and economic power? How do the economic, political and social repercussions of such events hinge on a crucial variable: the extent and nature of decentralisation?

KEYWORDS

decentralisation; extreme events; pandemics; natural disasters; subcentral governments

JEL H7, I0, Q0
HISTORY Received 11 October 2024; in revised form 15 October 2024

Institutions are designed to address the conventional challenges societies face under normal circumstances, such as economic improvements or downturns within expected parameters and without significant new demands. However, extreme events – such as natural disasters, pandemics, deep economic crises and terrorist attacks – are becoming more frequent and challenge the resilience, efficiency and adaptability of governance structures. The contributions to this article collection explore how the decentralisation of power within states affects the consequences of, responses to and recovery from such events. Our aim is to understand better the mechanisms that distinguish centralised from decentralised governance systems in managing extreme situations. While decentralisation can offer advantages in addressing events with diverse regional causes and effects, the dispersion of executive powers may hinder the ability to provide timely and effective responses, especially if decentralisation is extensive but lacks a strong intergovernmental framework for shared governance. The papers in this collection are focused on providing policy recommendations for coping with extreme events and examining whether lessons from these events should influence the design of institutional frameworks. Improving our understanding of these dynamics is crucial for developing resilient governance systems that can better adapt to and mitigate the impacts of future crises.

From an economic perspective, Margalit (2019, p. 278) defines an extreme event as a 'significant and intense change in one's personal economic standing'. Similarly, in political science, Fieldhouse et al. (2019, p. 31) define such events as 'unavoidable, high-salience changes or events that can prompt large sections of the population to update their political evaluations and party preferences'. In this collection, we consider extreme events to be unexpected and significant occurrences beyond the control of governments that can cause substantial disruptions to the normal functioning of economic and political systems. These events can be generated by humans or by nature. The COVID-19 pandemic represents the most recent and highly asymmetrical extreme event, which has come in the aftermath of the less extreme and perhaps less symmetrical event of the Great Recession.[1] Additional extreme events at both global and domestic scales can be expected ahead in association with climate change, natural disasters or international terrorist attacks.

The last several decades have witnessed a rise in the frequency and severity of extreme events that have global reach, such as the Great Recession or the COVID-19 pandemic, while others have more localised impacts: natural disasters associated with climate change, internal military conflicts or terrorist attacks. The emerging global challenge is improving governance institutions to control and

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This article has been corrected with minor changes. These changes do not impact the academic content of the article.

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reduce the impact of these unfortunately more frequent extreme events on society. The COVID-19 pandemic has highlighted the differences between centralised and decentralised responses, and the importance of intergovernmental coordination (Lago-Peñas et al., 2022). Yet, our understanding of the best forms of governance in the face of extreme events, and how the extreme events, in turn, are affecting governance remains limited.

Although the responses to the COVID-19 pandemic have prompted extensive reflection on governance failures across countries, there has been much less discussion about the lessons for improving governance in managing the consequences and preparing for future extreme events. This collection aims to fill this gap in the literature. Adopting a multidisciplinary approach that combines economics, political science and geography, it addresses two significant questions regarding the impact of extreme events. First, it examines whether extreme events have led to the remodelling of the architecture of local and regional authorities or influenced the degree and type of decentralisation of political and economic power. Second, it systematically explores how the economic, political, and social impacts of extreme events depend on a critical moderating factor: the degree and type of decentralisation of power.

Some papers in this collection treat decentralisation as the variable being explained, while others consider it the key explanatory independent variable. The nine contributions included are organised into four groups. The first focuses on the impact of extreme events on the degree of decentralisation of countries. The second group examines the fiscal incidence of deep crises in decentralised countries compared with centralised ones. The third group analyses the consequences of devolution on managing extreme events. The fourth group investigates the impact of extreme events on electoral accountability and changes in party systems.

First, the theoretical literature on the determinants of decentralisation outlines several boosting factors (Canavire-Bacarreza et al., 2017). Greater subnational government roles in culturally heterogeneous countries lead to welfare gains. Mobility and levels of democracy further influence decentralisation, as governments aim to align public goods with residents' preferences. Larger countries, which tend to have diverse preferences, benefit more from decentralisation, reducing the marginal benefits of centralisation. Moreover, empirical research has confirmed that factors such as country size, urbanisation, per capita income, mobility, geographical fragmentation, ethnic diversity and democracy are crucial determinants. Aside from the transition from autocracy to democracy or vice versa, those factors are generally time-invariant or change very slowly. In contrast, the first two papers in this collection explore whether unexpected and transitory short-term shocks are also relevant in establishing long-term equilibria in the degree of decentralisation of countries.

de Mello and Jalles (2024, in this collection) set the stage by examining the role of regional and local governments in crisis scenarios using data for up to 70 countries from 1990 to 2019. Their empirical analysis, based on impulse-response functions, confirms that natural disasters and pandemics affect decentralisation in the years following these shocks. However, results vary depending on the type of natural disaster and the level of development of countries. When using the regional authority index (RAI) as a metric of decentralisation (Marks et al., 2008), floods, climate vulnerabilities, and pandemics or epidemics tend to lead to a sustained increase in decentralisation in developed countries within five years. Conversely, extreme temperature episodes and wildfires tend to reduce RAI values. In developing countries, floods, extreme temperature events and pandemics/epidemics also have sustained decentralising effects, while droughts and wildfires tend to have the opposite effect.

Cadaval-Sampedro et al. (2023, in this collection) expand on these results. Based on a dynamic time-series cross-section analysis of 91 Organisation for Economic Co-operation and Development (OECD) and non-OECD countries from 1960 to 2018, their paper shows that internal armed conflicts boost decentralisation with long-lasting effects. Economic recessions tend to boost centralisation, but only temporarily. Finally, the most severe natural disasters do not generate a clear net effect in OECD countries and tend to reduce decentralisation in non-OECD countries.

A second set of articles focuses on the fiscal effect of extreme events in decentralised countries. Most of the literature in this area has concentrated on its impact on macroeconomic stability and fiscal sustainability. From a theoretical perspective, decentralised countries are more sensitive to the problem of soft budget constraints. Borrowing rules may not be effective enough and central authorities might struggle to commit to no-bailout policies (Martinez-Vazquez et al., 2017). However, empirical evidence has shown that well-designed institutional decentralisation can help address these challenges. Both reducing the vertical fiscal imbalance between expenditure and own taxes and introducing well-designed borrowing rules can lead to improved fiscal discipline (Lago et al., 2024).

However, it is crucial to also consider the fiscal capacity of subcentral governments to respond to unforeseen negative shocks and assess the effectiveness of various possible solutions. Goodspeed (2023, in this collection) explores how decentralised governments cope with budgetary crises induced by extreme events, given that they are unequipped for macroeconomic stabilisation policies and have highly constrained fiscal space. Using data from US states from 1977 to 2019 and employing a difference-in-difference approach while considering the 2008 financial crisis an extreme event, Goodspeed finds that grants and rainy-day funds are more effective in mitigating unemployment during financial crises than issuing debt. This highlights the importance of financial planning and intergovernmental support. In this context, Rodríguez-Pose and Vidal-Bover (2023, in this collection) address the issue of unfunded mandates. Using an original dataset of 445 regions across 26 OECD countries, they demonstrate that the mismatch

between fiscal and political decentralisation during the COVID-19 pandemic led to higher mortality rates. Their findings call for a more nuanced approach to decentralisation, emphasising the need for alignment between fiscal resources and political responsibilities.

A third central concern of this collection is the capacity of subcentral governments to provide the necessary services for managing extreme events. There is a wide consensus in the literature on fiscal federalism that proximity to problems and adaptability of choices by subcentral governments to the specific needs of each jurisdiction should lead to greater efficiency in service delivery. This includes both allocative efficiency – ensuring that resources are directed to where they are most needed – and production efficiency – delivering services at minimal cost while improving their quality and quantity. Most of the empirical literature has focused on health and education services (Martínez-Vazquez et al., 2017) Evidence suggests that decentralisation can lead to improved outcomes in these areas, with citizens perceiving that it enhances public services. However, evidence on other functional sectors is limited but moderately optimistic. This gap is even more pronounced for services related to managing the consequences of an extreme event. The following four papers in this collection aim to address this gap.

Beramendi et al. (2024, in this collection) examine infant mortality rates in less developed nations and find that decentralisation leads to greater spatial disparities, particularly following natural disasters. Their case study of Brazilian municipalities highlights the uneven impact of localised crises and the difficulties of maintaining national standards in decentralised systems. This underscores the need for customised disaster management strategies that account for regional characteristics. The broader implication is the importance of empowering local governments and encouraging decentralised decision-making in disaster management and resilience-building. Melloni (2024, in this collection) further explores this topic by focusing on practical implementation. Using flood prevention as a case study, the paper emphasises the importance of place-based flood prevention strategies, local resources, and the emergence and diffusion of innovations. Melloni presents a work methodology exemplified through the 'community road maintenance workers', a programme that entrusts road maintenance to local actors. Shair-Rosenfield (2024, in this collection) examines the effectiveness of decentralisation in emergency response by analysing the diverse response to the COVID-19 pandemic in Southeast Asia. The study highlights that while decentralisation can be beneficial, its success largely depends on the strength of coordination mechanisms between different government levels. Effective intergovernmental coordination is crucial for understanding the efficacy and quality of responses, underscoring the need to design sound institutional federal frameworks with this dimension in mind.

The final two papers focus on the political consequences of extreme events in decentralised countries. According to the rational choice institutionalist approach, greater devolution of powers is expected to reduce party system nationalisation, typically defined as the extent to which parties compete with similar strength across subnational geographical units. For instance, while Lago and Lago-Peñas (2011) do not find a robust and general robust relationship between the degree of decentralisation and party system nationalisation, Lublin (2024, in this collection) argues that this relationship may be more pronounced during a severe crisis, such as the Great Recession and the COVID-19 pandemic. Using data from nine Western democracies, Lublin finds that extreme events generally increase party fragmentation. This effect is moderated by the degree of decentralisation: while self-rule tends to mitigate increases in the number of parties, shared-rule tends to exacerbate them.

A second important political dimension explored in this collection is the effect of extreme events on incumbent support, particularly the rally around the flag effect and its relationship with the degree of decentralisation of countries. Lago and Blais (2023, in this collection) use data from national legislative and presidential elections following 423 major floods, 226 terrorist attacks and 55 pandemic elections. Their findings indicate that when the central government is solely responsible for the policy affected by an extreme event, the rally is greater compared with situations where responsibilities are shared among several tiers of government.

Together, these papers provide a comprehensive exploration of how decentralisation influences crisis management across various contexts and types of crises. They underscore the importance of well-designed institutions, effective coordination, fiscal preparedness, and policy alignment in maximising the benefits of decentralised governance while addressing the challenges posed by extreme events. This collection offers valuable insights into the ongoing debate about finding the optimal balance between centralisation and decentralisation in response to future global challenges.

NOTE

1. See Lago et al. (2020) for an in-depth analysis of how the different levels of countries' decentralisation mediated the overall impact of the Great Recession.

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